

Module 1

An Introduction to Accounting and the Accounting Equation

This module introduces you to accounting and the accounting equation

Learning Objectives

1. The value to various groups in society of a knowledge of accounting
2. The role of accounting in management
3. The need for, and use of, accounting information in decision making within any organization
4. The accounting equation
5. The basic layout of the profit and loss account (income statement), the balance sheet and the cash flow statement
6. The distinction between financial accounting and management accounting

Agenda

1.1 Approaching Accounting

1.2 The Reality of Accounting

1.3 What Accounting Is

1.4 Focus on Profit-Seeking Businesses

1.5 Who Are the Users of a Company's Accounting Information?

1.6 For what Sort of Decisions Do these Users Value Accounting Information?

1.7 Common Information Requirements among Users

1.8 The Accounting Equation

1.9 The Accounting Statements

Do-It-Yourself Example

1.10 Sole Trader versus MBA

1.11 Accounting: The External and Internal Functions

Students often prefer to avoid accounting since it is misperceived as boring, methodical, and highly numerical – fortunately, it is far from that!

Accounting Misconceptions

Non-Intuitive	Requires the mastery of rules from the outset, unlike marketing, economics and OB
Highly Mathematical	Deals exclusively with numbers
Focused on Precision	Involves extensive precision and accuracy, both of which require a highly developed mathematical mind
Requires Long Studies	Accountants must spend many years studying accounting to acquire their professional qualifications
Dull and Boring	Stereotyped as being humorless, repetitive and unimaginative

Luckily, accounting is none of the above!

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1.11 Accounting: The External and Internal Functions

Accounting is a series of processes and techniques that identify, measure and communicate economic information to be used in decision-making

Accounting:

Is a Service Function

- Accounting is **not** an end
- It provides information to decision-makers

Deals with Economic Information

- Organizations have a bewildering range of information
- Accounting confines itself to economic information and processes it into money value

Must Be Identified, then Measured

- Some economic events are **easy** to identify and to measure
- Others are easy to identify but not to measure
- Economic events have to be properly measured to have accurate profit figures

Is a Communication Device

- Accounting helps decision makers reach their objectives
- Accountants should communicate precise, up to the point and clear accounting information to them

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Accounting is a universally applicable management tool employing universally applicable principles

What do the following persons have in common?



The detailed accounting procedures applicable to each of these individuals are fairly complex, we will focus primarily on the profit-seeking manufacturing sector

The profit-seeking private sector, and more specifically the manufacturing industry, is our scope of focus in this course

Reasons behind this selection

1

Lots of people **invest** in profit-seeking private companies even non-for-profit organizations

2

Increasing **privatization** adopts techniques and performance measures of the private sector

3

Manufacturing industry setting is the **easiest** and the **most applicable** in conveying accounting rules and principals

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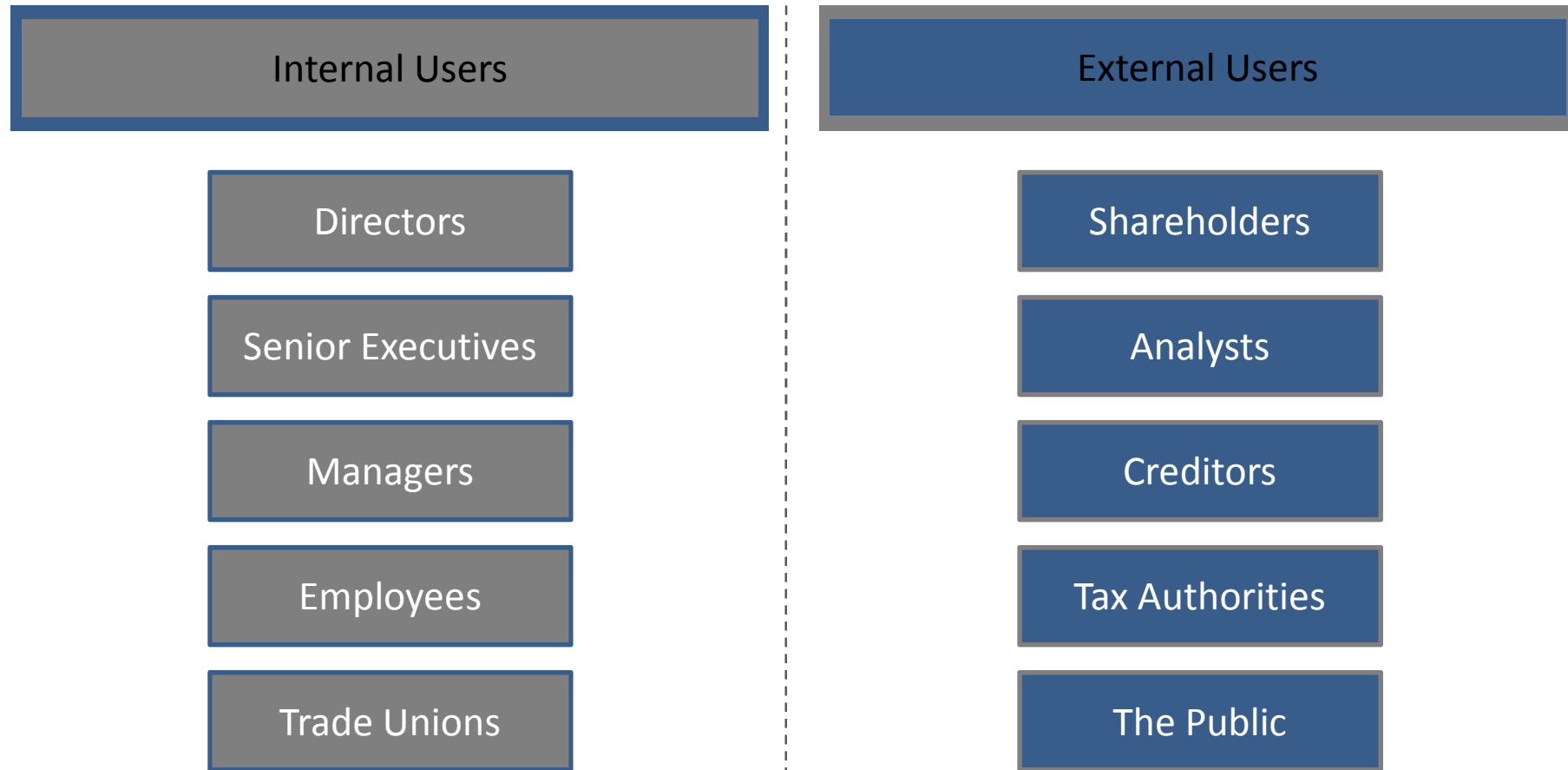
1.9 The Accounting Statements

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1.11 Accounting: The External and Internal Functions

A company's accounting information can be of use to internal users and/or external users



They need accounting to base their decisions on adequate and truthful information

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Each category of accounting users has a different purpose in reviewing company accounts

Questions Asked by Different Users of Accounting Information

Directors

- Has the company been employing its resources in the most effective way to maximize the profit earned for our shareholders?
- Is it maximizing shareholder value?
- Has the company been a good corporate citizen?
- Have all our industrial processes been friendly to the environment? If not, how much is being spent on improving the flawed processes?

Senior executives

- Are we managing our money efficiently?
- Is our manager remuneration scheme sufficiently rigorous to promote effort and commitment while at the same time being competitive with other multinationals?

Each category of accounting users has a different purpose in reviewing company accounts (Continued)

Managers	▪ Would it be cheaper to make a component ourselves or buy it in from an outside supplier? ▪ Are all our lines profitable?
Employees	▪ How much should we claim in the next wage round? ▪ What are the security and prospects of employment in this company?
Shareholders	▪ Should we buy (or sell or hold) shares in this company? ▪ How much dividend has been paid last year compared with profits earned?
Analysts	▪ Should we advise shareholders and potential shareholders to buy or sell or hold shares in the company? ▪ Is the performance of the company this year superior to its competitors?

Each category of accounting users has a different purpose in reviewing company accounts (Continued)

Creditors	▪ Should we advise a switch of holding to a company with a more promising prospect? ▪ Should we extend our credit to this company, or should we press to recover our debts? ▪ In the longer term will the company be able to supply us with business?
Tax Authorities	▪ How much tax can we expect to receive from the company?
The Public	▪ Is the company fulfilling its obligations to society by, for instance, minimizing environmental pollution, or by abiding by international guidelines for trading in Third World countries?

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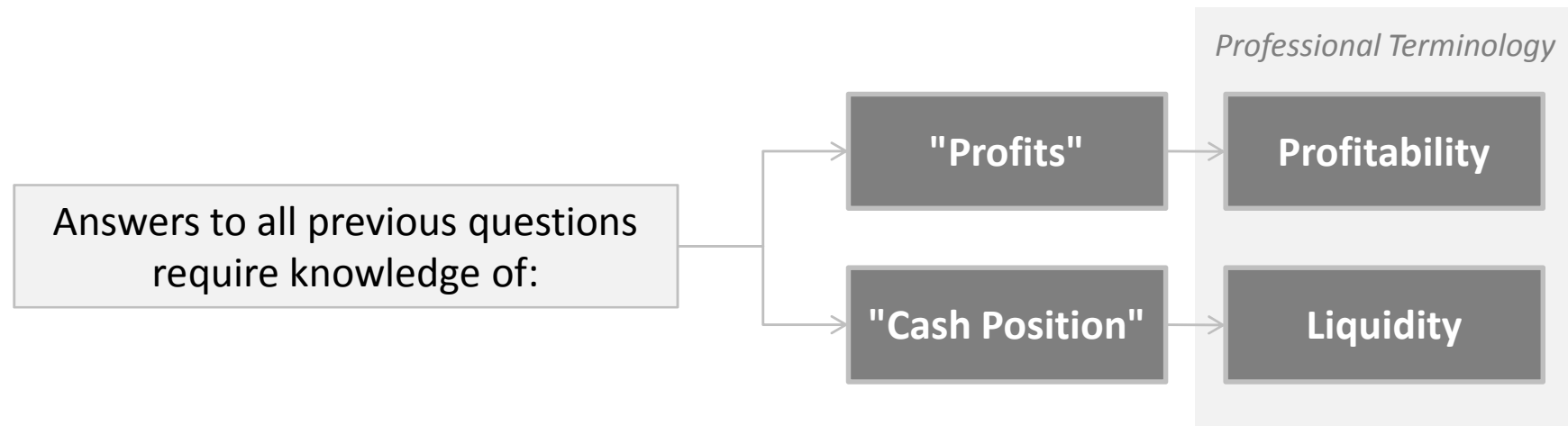
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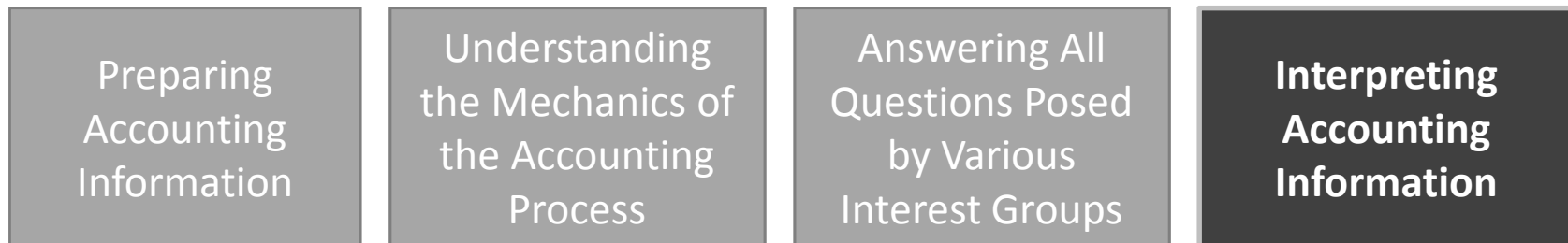
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Accounting is not all about profitability and liquidity ratios, but rather about understanding and interpreting accounting information



This course is designed to assist managers in:



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The accounting recording system is based on the “Accounting Equation” that expresses the relationship between resources & funds used to acquire them

Accounting Equation

$$\begin{array}{ccccc} \boxed{\text{Assets}} & = & \boxed{\text{Owner's Equity}} & + & \boxed{\text{Liabilities}} \\ & & \boxed{\text{Or}} & & \\ \boxed{\text{Assets}} & - & \boxed{\text{Liabilities}} & = & \boxed{\text{Owner's Equity}} \end{array}$$

The accounting equation is a collection of balances after each transaction has been completed and recorded

A simple example will show how this equation works by examining a series of actions through a period of time

Action 1

An individual commences his business on 1 January with €20,000 cash.

Assets +20,000 (Cash)	=	Owner's Equity +20,000	+	Liabilities
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Action 2

Out of these cash resources he purchases plant and equipment for €12,000.

Assets +8,000 (Cash) + 12,000 (Plant)	=	Owner's Equity +20,000	+	Liabilities
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A simple example will show how this equation works by examining a series of actions through a period of time (Continued)

Action 3

Inventories of raw materials are purchased on credit for €6,000

Assets +8,000 (Cash) +12,000 (Plant) +6,000 (Raw Material)	=	Owner's Equity +20,000	+	Liabilities +6,000 (Creditors)
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Action 4

€500 worth of inventory is processed through the machines at a labor cost of €20 to form finished goods inventory.

Assets +7,980 (Cash) +12,000 (Plant) +5,500 (Raw Material) +520 (Finished Goods)	=	Owner's Equity +20,000	+	Liabilities +6,000 (Creditors)
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A simple example will show how this equation works by examining a series of actions through a period of time (Continued)

Action 5

The accountant, an employee of the business, is paid his wage of €10 in cash.

Assets +7,970 (Cash) +12,000 (Plant) +5,500 (Raw Material) +520 (Finished Goods)	=	Owner's Equity +19,990	+	Liabilities +6,000 (Creditors)
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Note

Note the difference between:

- Wages paid to **production workers** in Action 4 (which increase the value of the inventory to be sold).
- Wages of an **administrative nature** (which do not increase the value of assets and which do not vary with output).

A simple example will show how this equation works by examining a series of actions through a period of time (Continued)

Action 6

The entire finished goods inventory is sold for €750 on credit.

Assets +7,970 (Cash) +12,000 (Plant) +5,500 (Raw Material) +750 (Debtors)	=	Owner's Equity +20,220	+	Liabilities +6,000 (Creditors)
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Profit

Change in finished goods inventories (–€520) + Change in debtors (+€750)	=	Change in owners' equity (+€230)
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A simple example will show how this equation works by examining a series of actions through a period of time (Continued)

Action 7

€3,000 of the amount due to suppliers is paid along with an advertising bill of €10. At this point the machine which has an effective working life of 24,000 hours has been used for 100 hours.

Assets +4,960 (Cash) +11,950 (Plant) +5,500 (Raw Material) +750 (Debtors)	=	Owner's Equity +20,160	+	Liabilities +3,000 (Creditors)
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The balance sheet summarizes changes that occurred to the assets, liabilities and owner's equity at the end of the period

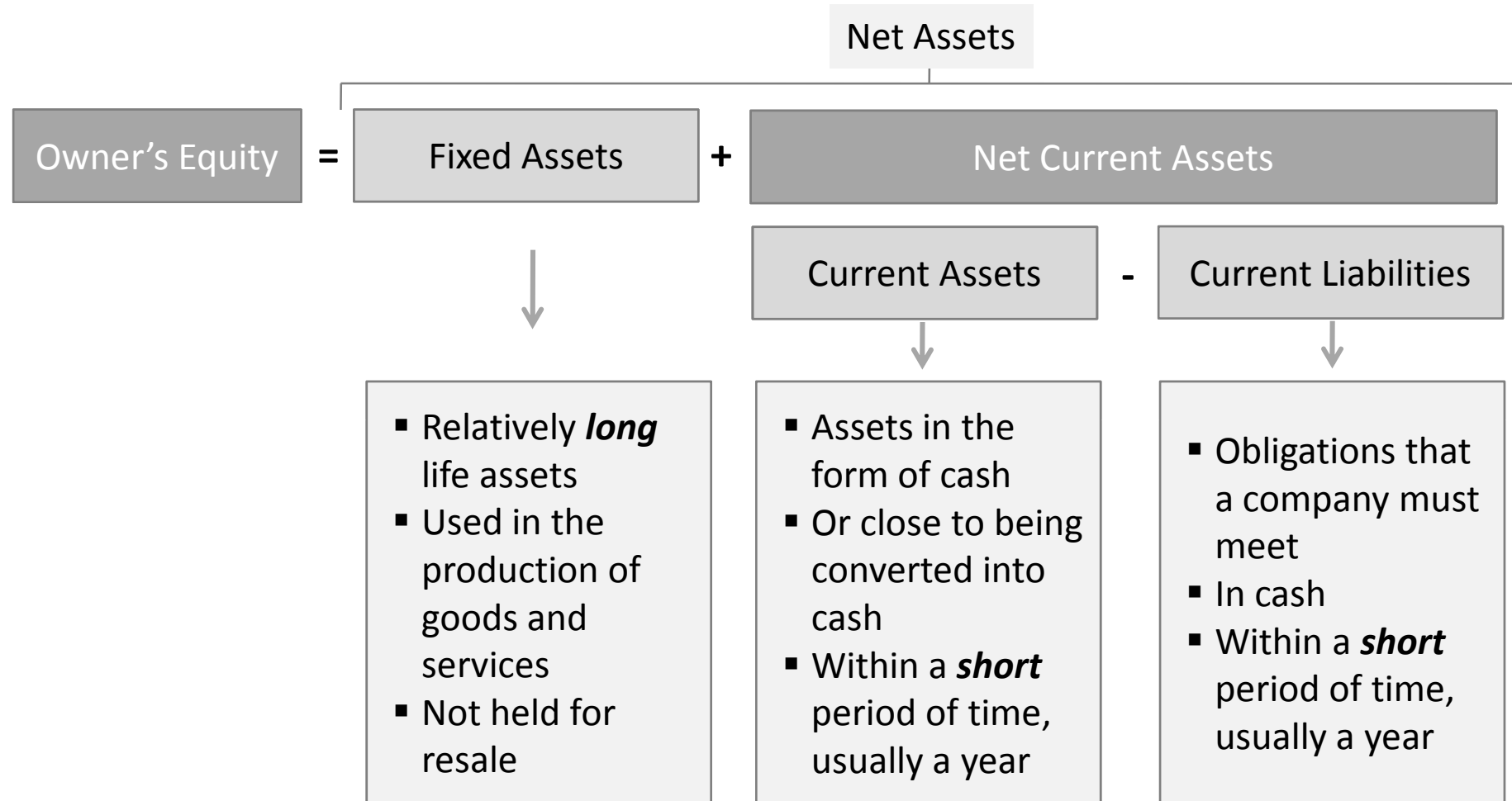
Balance sheet at the end of Action 7

Assets	€	Owner's Equity	€ 20,160
Cash	4,960		
Plant and equipment	11,950		
Inventories	5,500		
Debtors	750	Creditors	3,000
	€ 23,160		€ 23,160

An alternate balance sheet layout is vertical – it provides a clearer picture of a Company's financial position

Fixed assets	€	€
Plant and equipment at cost	12,000	
<i>Less: Depreciation</i>	50	11,950
Current assets		
Inventories	5,500	
Debtors	750	
Cash	4,960	
	€ 11,210	
<i>Less: Current liabilities</i>		
Creditors	3,000	€ 8,210
Net assets of the company		€ 20,160
Represented by:		
Capital introduced	20,000	
Profits earned	160	
Owners' equity		€ 20,160

The owner's equity of a company is represented by its net assets, which is further divided into fixed and current assets less current liabilities



The original cash introduced by the owners is consumed in the purchase of assets and in the trading activities for which the company was set up

A separate accounting statement showing the change in shareholder equity can be constructed from detailed actions 5-7 in our example

The actions from our example that affected owner's equity are:

Action		€
5	Accountant's wage	-10
6	Profit on sale of finished goods	230
7	Advertising bill	-10
7	Depreciation charge on plant	-50
	Net increase in equity	€ 160

Another accounting statement - the profit and loss account (or the income statement) – can also be drawn up for the accounting period in our example

Profit and loss account for the period covering Actions 1–7

		€	€
Sales			750
<i>Less: Cost of sales</i>	Materials	500	
	Labour	20	
	Depreciation	50	570
Gross Profit			180
<i>Less: Selling and administrative costs</i>			
	Advertising	10	
	Salaries	10	20
Net Profit			€ 160

The Income Statement tells how much profit was made, how many sales were recorded, the cost of these sales and the expenses incurred during the accounting period.

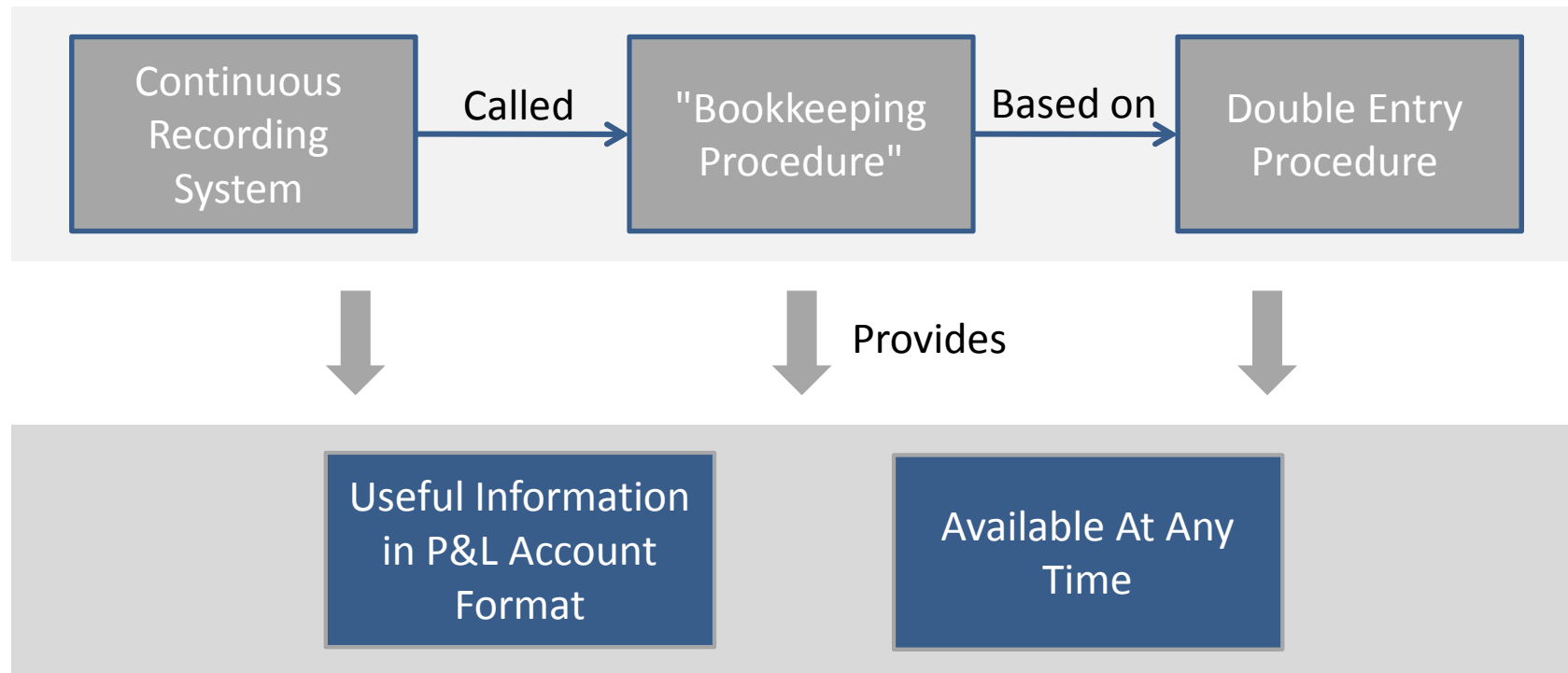
Key terms that will be used extensively in this course include profit, revenue expenditure and capital expenditure

Key terms

Profit	Is the excess of <i>sales revenue</i> over <i>costs</i> incurred in generating the revenue
Revenue Expenditure	Are the items of expenditure accounted for via the <i>profit and loss</i> account
Capital Expenditure	Are the items of expenditure accounted for via the <i>balance sheet</i>

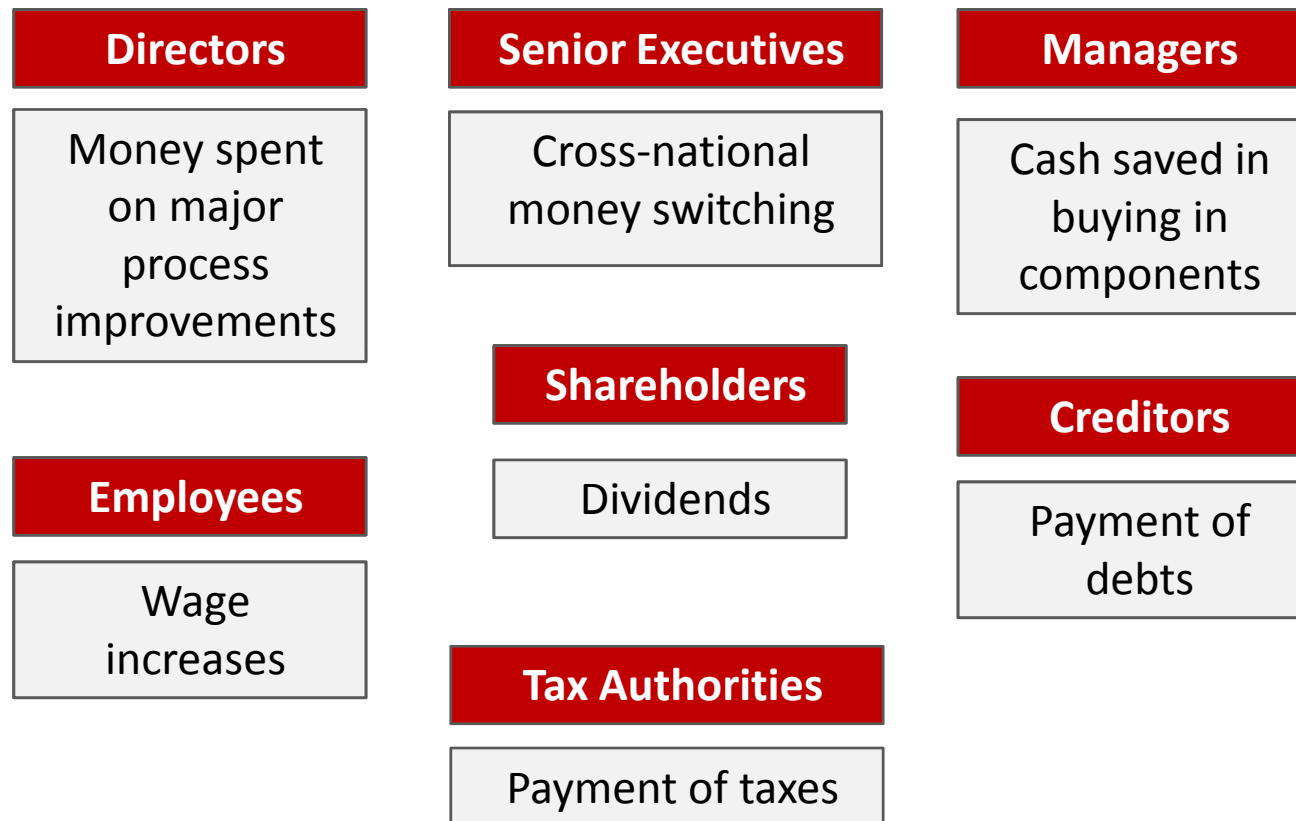
Accountants have devised a continuous recording system to avoid calculating the effect on profit and owner's equity after every transaction

Accountant's Job



The cash position is important to various users of financial information in many ways

Importance of Cash Position to Different Users



A third accounting statement – known as the Cash Flow Statement – is used to record changes in the cash position of a company

Examples of Items Affecting the Cash Flow Statement

Debtors	An <i>increase in debtors</i> affects cash negatively. When customers don't pay cash for goods and services, the business pays out cash to support its credit customers' businesses for a short period of time.
Creditors	An <i>increase of creditors</i> is a source of cash. For the short period the business is owing the money, it is able to use the money for other business purposes.
Depreciation	<i>Depreciation</i> is added back to Cash. As it is charged in the profit and loss account while having no effect on cash

Cash is cash whether the event affects the balance sheet or the profit and loss account.

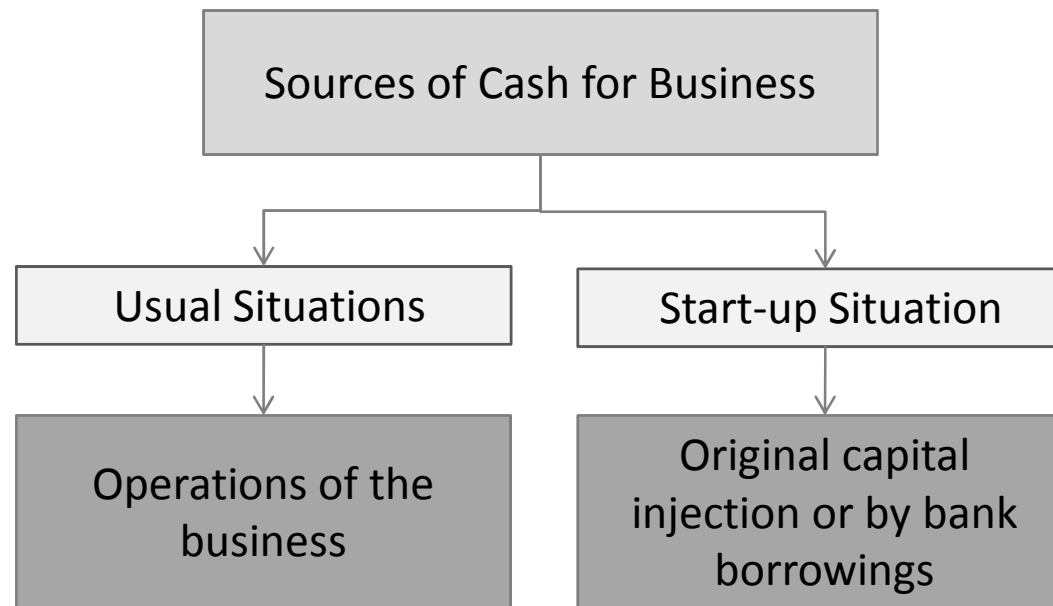
The cash flow statement portrays only those economic events of a business which affect cash flows

Cash flow statement for the period to Action 7

Sources of cash	€	€
Profit from operations	160	
Adjusted for non-cash items: depreci	50	
		210
Capital introduction	20,000	
Increase in creditors	3,000	23,000
		23,210
Uses of cash		
Purchase of plant	12,000	
Increase in debtors	750	
Increase in inventories 18 250	5,500	18,250
Closing balance of cash		€ 4,960

The Cash flow Statement breaks down the accounting conventions that separate economic events into either the balance sheet or the P&L account.

The main source of cash for any business should be its operations, and not its shareholder's equity



The ***profit*** figure is the most useful starting point for determining the amount of cash generated by operations.

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Do-It-Yourself Example: Construct the accounting equation which reflects the transaction(s) for Forth Enterprises

Action 1

Fred Forth commences business with €40,000 from his own savings and a further €10,000 cash from his cousin. His cousin informs Forth that he is not looking for interest or early repayment.

Assets + 50,000 (Cash)	=	Owner's Equity + 40,000	+	Liabilities + 10,000 (Long Term Loan)
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Do-It-Yourself Example (Continued)

Action 2

Forth buys the following assets: plant and equipment €5,000 cash, factory and warehouse €25,000 cash, and raw materials €8,000 (half by cash, half by credit).

Assets 5,000 (Plant) + 25,000 (Factory) + 8,000 (Raw Material) + 16,000 (Cash)	=	Owner's Equity 40,000	+	Liabilities 4,000 (Creditors) + 10,000 (Long Term Loan)
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Do-It-Yourself Example (Continued)

Action 3

Before the equipment can function properly, it requires a post-installation lubrication costing €200. Forth pays for this in cash. Raw materials worth €4,000 are then processed into finished goods through the equipment at a about cost of €400.

Assets					
5,200 (Plant)					
+4,000 (Raw Material)					
+ 4,400 (Finished Goods)	=	Owner's Equity	+	Liabilities	
+ 15,400 (Cash)		40,000		4,000 (Creditors)	
+25,000 (Factory)				+ 10,000 (Long Term Loan)	

Post-installation lubrication was **capitalized** because the equipment would not work without it.  Add this cost to the **original purchase price**

Do-It-Yourself Example (Continued)

Action 4

Forth pays his creditors in full and sells half of the finished goods (recorded at cost of €2,200) for €4,000 credit.

Assets 11,400 (Cash) + 2,200 (Finished Goods) + 4,000 (Debtors) + 5,200 (Plant) +25,000 (Factory) +4,000 (Raw Material)	=	Owner's Equity 41,800	+	Liabilities 0 (Creditors) + 10,000 (Long Term Loan)
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Do-It-Yourself Example (Continued)

Action 5

Forth buys a second-hand delivery van for €3,000 on credit and a typewriter for his secretary for €200 cash.

Assets 3,000 (Motor Vehicle) + 5,400 (Plant) + 11,200 (Cash) + 2,200 (Finished Goods) + 4,000 (Debtors) +25,000 (Factory) +4,000 (Raw Material)	=	Owner's Equity 41,800	+	Liabilities 3,000 (Creditors) + 10,000 (Long Term Loan)
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Do-It-Yourself Example (Continued)

Action 6

Forth sells the remainder of the finished goods (recorded at a cost of €2,200) for €3,900 cash, and receives payment of €3,900 from his debtors.

Assets				
0 (Finished Goods)				
+ 100 (Debtors)				
+ 19,000 (Cash)				
+ 3,000 (Motor Vehicle)				
+ 5,400 (Plant)				
+25,000 (Factory)				
+4,000 (Raw Material)				
	=	Owner's Equity	+	Liabilities
		43,500		3,000 (Creditors)
				+ 10,000 (Long Term Loan)

Do-It-Yourself Example (Continued)

Action 7

The delivery van breaks down and requires €100 of repairs which Forth pays for in cash. He buys further raw materials for €6,000 cash and processes the remainder of his first batch of raw materials (which had cost €4,000) at a cash cost for labor of €300.

Assets 6,000 (Raw Material) + 12,600 (Cash) + 4,300 (Finished Goods) + 3,000 (Motor Vehicle) + 100 (Debtors) + 5,400 (Plant) +25,000 (Factory)	=	Owner's Equity 43,400	+	Liabilities 3,000 (Creditors) + 10,000 (Long Term Loan)
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Do-It-Yourself Example (Continued)

Action 8

At Christmas, Forth buys his wife a food mixer costing €100 and his secretary a designer evening gown costing €1,200. He pays for both items using his credit card.

No change from Action 7
This action represents personal expenditure, does **NOT** affect business

Do-It-Yourself Example (Continued)

Action 9

He sells his second batch of finished goods (which are recorded at a cost of €4,300) for €6,000, receiving half of the money in cash and giving credit for the other half. He pays off his creditors.

Assets 0 (Finished Goods) + 3,100 (Debtors) + 12,600 (Cash) +6,000 (Raw Material) + 3,000 (Motor Vehicle) + 5,400 (Plant) +25,000 (Factory)	=	Owner's Equity 45,100	+	Liabilities 0 (Creditors) + 10,000 (Long Term Loan)
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Do-It-Yourself Example (Continued)

Action 10

Forth pays €400 cash for advertising and €200 cash for audit fees; he also has all of his raw materials (cost €6,000) processed, his labor force incurring €1,000 wages in so doing.

Assets 0 (Raw Material) + 7,000 (Finished Goods) + 11,000 (Cash) + 3,000 (Motor Vehicle) + 3,100 (Debtors) + 5,400 (Plant) +25,000 (Factory)	=	Owner's Equity 44,500	+	Liabilities + 10,000 (Long Term Loan)
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Do-It-Yourself Example (Continued)

Action 11

His auditors advise him that he should write off the debt of €100 which has been outstanding since Action 4; in their opinion this debt is now irrecoverable. They also recommend that he provides for depreciation on plant and equipment at a rate of 10 per cent and on motor vehicles at 25 per cent.

Assets 3,000 (Debtors) + 4,860 (Plant) + 2,250 (Motor Vehicle) + 7,000 (Finished Goods) + 11,000 (Cash) +25,000 (Factory)	=	Owner's Equity 43,110	+	Liabilities + 10,000 (Long Term Loan)
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Do-It-Yourself Example (Continued)

Action 12

Forth considers that one-fifth of his factory and warehouse space is excessive for his needs; he sells that part for €7,000 in cash. He withdraws €2,000 in cash for personal needs.

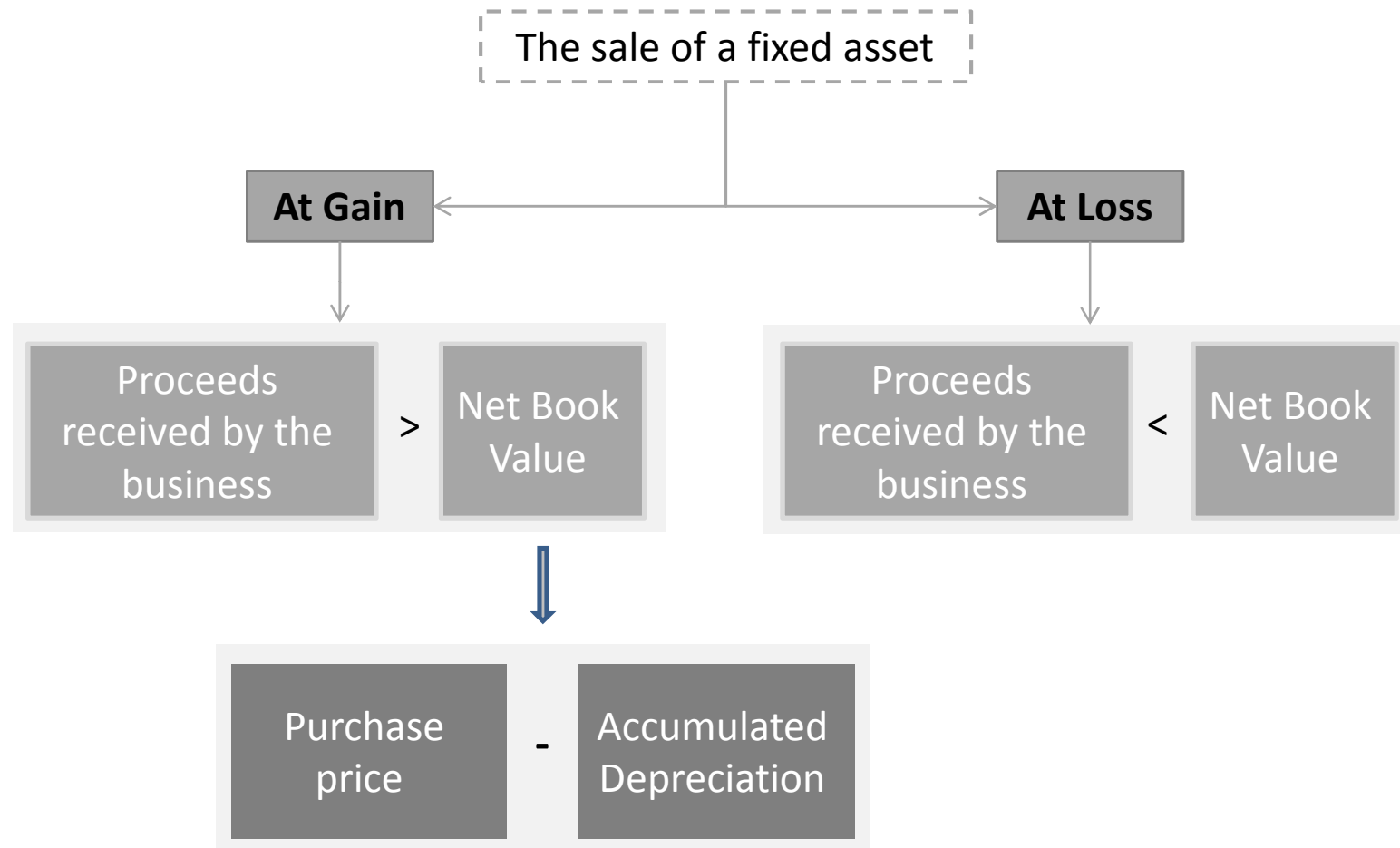
Assets 20,000 (Factory) + 16,000 (Cash) + 4,860 (Plant) + 2,225 (Motor Vehicle) + 7,000 (Finished Goods) + 3,000 (Debtors)	=	Owner's Equity 43,110	+	Liabilities + 10,000 (Long Term Loan)
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Do-It-Yourself Example (Continued)

Profit and loss account for the period to Action 12

		€	€
Sales			13 900
Less: Cost of sales	Raw materials	8 000	
	Labour	700	
	Depreciation on plant and equipment	540	9 240
Gross profit			4 660
General expenses	Motor repairs	100	
	Advertising	400	
	Depreciation on motor vehicles	750	
	Bad debt	100	
	Audit	200	1 550
Net profit from operations			3 110
Extraordinary profit from sales of factory (see note)			2 000
Net profit			€5 110

Do-It-Yourself Example (Continued)



Do-It-Yourself Example (Continued)

Balance sheet at the end of Action 12

Fixed assets	€	€	€
Factory and warehouse		20 000	
Plant and equipment		4 860	
Motor vehicles		<u>2 250</u>	27 110
Current assets			
Finished goods	7 000		
Debtors	3 000		
Cash	<u>16 000</u>	26 000	
Less: Current liabilities		<u>–</u>	26 000
Net assets of the company			<u>€53 110</u>
Represented by:		€	€
Capital introduced		40 000	
Profit		<u>5 110</u>	
		45 110	
Less: Drawings		<u>2 000</u>	
Owner's equity		43 110	
Long-term loan		<u>10 000</u>	<u>€53 110</u>

Do-It-Yourself Example (Continued)

Cash flow statement for the period to Action 12

	€	€
Sources of cash		
Profit from operations	3 110	
Adjusted for non-cash items – depreciation	1 290	4 400
Capital introduction	40 000	
Long-term loan	10 000	50 000
Sale of factory and warehouse		7 000
		<u>61 400</u>
Uses of cash		
Purchase of assets		
Factory and warehouse	25 000	
Plant and equipment	5 400	
Motor vehicles	3 000	33 400
Increase in inventories – Finished goods	7 000	
Increase in debtors	3 000	10 000
Drawings		2 000
		<u>45 400</u>
Closing balance of cash		<u>€16 000</u>

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Businesses can be set up in 3 different forms: sole trader, partnership and company

	Sole Trader	Partnership	Company
Capital Structure	<i>An individual</i> starts trading at any time with assets at his disposal	A <i>group of partners</i> set up the business together with different shares	Owner's equity (Share capital) is split into individual shares held by <i>Shareholders</i>
Liability & Risk	<i>Unlimited</i> liability Not only his business assets are at risk but also his personal assets	<i>Unlimited</i> liability Not only their business assets are at risk but also their personal assets	<i>Limited</i> liability Shareholders do not risk losing any more money than the sum paid for their shares
Transparency	<i>Not</i> required to make his P&L account and balance sheet public	<i>Not</i> required to make their P&L account and balance sheet public	<i>Required</i> to make audited P&L account and balance sheet public

Each form is different but they all use the same accounting equation

Agenda

1.1 Approaching Accounting

1.2 The Reality of Accounting

1.3 What Accounting Is

1.4 Focus on Profit-Seeking Businesses

1.5 Who Are the Users of a Company's Accounting Information?

1.6 For what Sort of Decisions Do these Users Value Accounting Information?

1.7 Common Information Requirements among Users

1.8 The Accounting Equation

1.9 The Accounting Statements

Do-It-Yourself Example

1.10 Sole Trader versus MBA

1.11 Accounting: The External and Internal Functions

This course is designed to cover both accounting functions – financial and managerial

Financial Accounting (Reporting)

Compiling accounting information into financial statements showing the **overall** picture of the firm

Important for managers and shareholders in taking decisions and assessing company's performance

Management Accounting

Predicting future prices and costs of daily operations

Important for managers to plan and control the day to-day activities of the business

The first 7 modules of this course address financial accounting for managers; the following 9 modules address management accounting for decision making

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Review Questions

Multiple Choice Questions

1.1 There are several views of the role of accounting.

- i. Accounting provides information for decision makers.**
- ii. Accounting demands a high degree of mathematical precision.**
- iii. Accounting handles only economic information.**
- iv. Accounting requires only the mastery of a strict set of rules.**

Which of the following is correct?

- A. (i) and (ii) only.
- B. (i) and (iii) only.**
- C. (ii) and (iv) only.
- D. (iii) and (iv) only.

Multiple Choice Questions (Continued)

1.2 Accounting information is used by different groups of people for different primary purposes. They are:

- i.Shareholders concerned with the level of employee remuneration;**
- ii.Managers concerned with the profitability of product lines;**
- iii.Creditors concerned with the company's ability to settle debts on time;**
- iv.Analysts concerned with the company's environmental record.**

Which of the following is correct?

- A. (i) and (ii) only.
- B. (i) and (iv) only.
- C. (ii) and (iii) only.
- D. (ii) and (iv) only.

Multiple Choice Questions (Continued)

1.3 Which of the following reflects the effects on the accounting equation of a payment to creditors?

- A. Assets decrease; owners' equity decreases.
- B. Assets decrease; owners' equity increases.
- C. Assets increase; liabilities decrease.
- D. Assets decrease; liabilities decrease.

Multiple Choice Questions (Continued)

1.4 Which of the following reflects the effect on the accounting equation of a sale of finished goods inventory, on credit?

- A. Assets decrease; owners' equity unchanged.
- B. Assets decrease; owners' equity increases.
- C. Assets increase; owners' equity increases.
- D. Assets increase; owners' equity decreases.

Multiple Choice Questions (Continued)

1.5 Which of the following reflects the effect on the accounting equation of a purchase of an item of plant, for cash?

- A. Assets increase; owners' equity decreases.
- B. Assets unchanged; owners' equity increases.
- C. Assets decrease; owners' equity unchanged.
- D. Assets unchanged; owners' equity unchanged.

Multiple Choice Questions (Continued)

1.6 Which of the following economic actions reduces the amount of owners' equity?

- A. A payment of administration wages.
- B. A receipt of cash from debtors.
- C. A receipt of a loan from the owner's brother.
- D. A payment for production wages.

Multiple Choice Questions (Continued)

1.7 Which of the following economic actions increases the amount of owners' equity?

- A. A purchase of raw material inventory, on credit.
- B. A sale of finished goods, on credit.
- C. A payment for a motor vehicle.
- D. A payment to creditors.

Multiple Choice Questions (Continued)

1.8 Which of the following economic actions increases the amount of current assets?

- A. A receipt of cash from debtors.
- B. A purchase of raw material inventory, on credit.
- C. A purchase of raw material inventory, for cash.
- D. A payment to creditors.

Multiple Choice Questions (Continued)

1.9 Which of the following economic actions decreases the amount of current assets?

- A. A payment for production wages.
- B. A purchase of plant, on credit.
- C. A purchase of plant, for cash.
- D. A receipt of cash, from debtors.

Multiple Choice Questions (Continued)

The following information applies to Questions 1.10 to 1.22.

Action 1

T. Harding & Co. has commenced business with a start-up cash balance of €15,000, comprising the initial owners' equity. His first actions are to purchase a van, costing €5,000, for cash; he then acquires €8,000 of raw materials inventory, on credit.

1.10 What is the amount of current assets after Action 1?

- A. €5,000.
- B. €8,000.
- C. €15,000.
- D. €18,000.

Multiple Choice Questions (Continued)

1.11 What is the amount of owners' equity after Action 1?

- A. €10,000.
- B. €15,000.
- C. €23,000.
- D. €28,000.

Multiple Choice Questions (Continued)

1.12 Action 2

Plant is purchased at a cost of €4,000, on credit, and €200 is paid in wages to the production staff for the conversion of the raw materials into finished goods inventory, half of which is sold for cash of €7,000.

What is the amount of cash after Action 2?

- A. €8,800.
- B. €16,800.
- C. €21,800.
- D. €24,800.

Multiple Choice Questions (Continued)

1.13 What is the amount of fixed assets after Action 2?

- A. €4,000.
- B. €5,000.
- C. €9,000.
- D. €24,000.

Multiple Choice Questions (Continued)

1.14 What is the amount of owners' equity after Action 2?

- A. €17,900.
- B. €22,000.
- C. €27,000.
- D. €29,900.

Multiple Choice Questions (Continued)

1.15 Action 3

Payment of €5,000 is made to creditors. The van breaks down, incurring repair costs of €350, paid for in cash. Depreciation of €400 on plant is to be taken into account.

What is the amount of finished goods inventory after Action 3?

- A. €3,700.
- B. €4,100.
- C. €4,500.
- D. €4,850.

Multiple Choice Questions (Continued)

1.16 What is the amount of fixed assets after Action 3?

- A. €3,650.
- B. €4,400.
- C. €5,350.
- D. €8,600.

Multiple Choice Questions (Continued)

1.17 What is the amount of owners' equity after Action 3?

- A. €12,150.
- B. €17,150.
- C. €18,650.
- D. €23,650.

Multiple Choice Questions (Continued)

1.18 Action 4

The remaining finished goods inventory is sold for €8,500, on credit. Payments of administration wages of €500 are made, together with a further €2,000 to creditors.

What is the amount of cash after Action 4?

- A. €8,950.
- B. €9,350.
- C. €17,050.
- D. €22,450.